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Navigating the ESG Paradox: Strategic Pathways Between Innovation and Washing Under Stakeholder Scrutiny

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ABSTRACT

As firms increasingly incorporate environmental, social, and governance (ESG) concerns into their strategic agendas, stakeholder legitimacy—an audience-conferred judgment of organizational appropriateness—has become pivotal. We theorize legitimacy as expanding a hybrid response portfolio in which firms may pursue substantive change (business model innovation [BMI]) alongside symbolic communication that can become ESG washing when disproportionate to operations. Integrating legitimacy, institutional, and signaling perspectives, we argue that institutional pressures allocate effort across these responses rather than forcing an either–or choice. Using a two-wave survey of South Korean firms ($N=478$), we find that legitimacy generally promotes BMI and deters ESG washing. Regulatory pressure strengthens the legitimacy–BMI link and amplifies the deterrent effect of legitimacy on washing, while normative pressure attenuates both relationships, consistent with a shift toward symbolic compliance. These findings highlight the ethical ambivalence of legitimacy and demonstrate how institutional context shapes ESG behavior. The study contributes to corporate responsibility literature by clarifying when legitimacy drives innovation versus deception and by bridging signaling, legitimacy, and institutional perspectives. We also offer implications for managers balancing ethical responsibility with signaling and for policymakers designing regulations to curb ESG washing.

1 | Introduction

Organizations today face a structural paradox: The same pressures that encourage substantive change also incentivize symbolic actions aimed at favorable audience evaluations. To secure stakeholder approval, firms may pursue business-model-level transformation while simultaneously engaging in ESG (environmental, social, and governance) signaling whose operational depth varies. Rather than treating these responses as mutually exclusive, we conceptualize a hybrid repertoire in which firms can allocate efforts across both substantive business model innovation (BMI) and symbolic signaling concurrently, with

the balance shaped by audience scrutiny and organizational constraints.

As stakeholder expectations for ESG intensify, legitimacy has become both an ethical obligation and a strategic tool, prompting divergent firm responses. For some, legitimacy pressures drive substantive BMI, fostering a fundamental integration of sustainability into core operations (Bocken et al. 2014; Ritala et al. 2018). For others, these same pressures incentivize ESG washing—the adoption of symbolic ESG claims without meaningful operational change (Berrone et al. 2017; Deng et al. 2025). Often termed “decoupling,” this practice separates public-facing

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commitments from internal practices and remains a persistent challenge in the credibility of sustainability reporting (Cep  da et al. 2025).

While prior research acknowledges these divergent paths, it has not adequately explained how firms navigate this tension under shared legitimacy pressures. Traditional theories often present an incomplete picture. Legitimacy theory tends to frame legitimacy-seeking as a force for ethical alignment with societal good (Gatti et al. 2019), underplaying the strategic use of symbolic compliance. Similarly, institutional theory, emphasizing isomorphism, struggles to explain variation across similarly situated firms—some engage in deep innovation, others in surface-level signaling. Moreover, much of the literature often treats substantive change and symbolic gestures as mutually exclusive, driven by different antecedents (K  berling-Jost 2021; Lee and Raschke 2023). This binary framing obscures the reality that firms may pursue both responses simultaneously.

This creates a fundamental ESG paradox: Stakeholder legitimacy can serve as both a catalyst for authentic transformation and a shield for strategic ambiguity. Firms may leverage legitimacy to pursue deep innovation, or use it to justify symbolic gestures without operational follow-through, or do both. The core question is not whether high-legitimacy firms choose BMI or ESG washing, but under what institutional conditions legitimacy promotes substantive innovation versus symbolic compliance, or strategic ambiguity, where both coexist.

The stakes of this ESG paradox have intensified with evolving regulatory scrutiny. In the EU, the Corporate Sustainability Reporting Directive (CSRD) expands mandatory sustainability reporting and third-party assurance for large and listed firms, while the Corporate Sustainability Due Diligence Directive (CSDDD) requires covered firms to identify and address adverse human-rights and environmental impacts across value chains. In the United States, the SEC adopted climate-related disclosure rules in 2024, and California's SB-253/SB-261 requires emissions reporting and climate-risk disclosures for large firms operating in the state. These developments raise both the payoffs to substantive ESG transformation and the reputational risks of symbolic compliance, increasing the salience of how firms allocate effort across hybrid response portfolios.

While a large literature focuses on ESG washing and symbolic claims decoupled from operational change, our approach diverges in two ways. First, we shift the focus from diagnosing misrepresentation to theorizing how legitimacy pressure shapes the allocation between symbolic and substantive responses. Second, we model simultaneity, specifying when firms blend strategies and when they lean toward deep innovation. In doing so, we move beyond either/or assumptions and explain how ESG response portfolios vary across audiences and over time.

Our study addresses these gaps by asking under what circumstances similarly positioned firms facing legitimacy pressures diverge, with some embracing genuine innovation and others opting for symbolic compliance. Rather than conceptualizing this as a binary choice, we propose that firms construct hybrid repertoires in response to competing audience expectations and institutional constraints.

Accordingly, we conceptualize legitimacy pressure as expanding a firm's response portfolio, including the possibility of strategic ambiguity where both BMI and ESG washing coexist. Some stakeholders demand authentic transformation, others may accept or even reward symbolic gestures. Recent research on ESG decoupling demonstrates that firms often adopt progressive policies inconsistently, reflecting both genuine innovation efforts and impression management occurring in tandem.

Our framework thus reframes ESG response not as a dichotomy, but as a problem of effort allocation across coexisting strategies. We argue that stakeholder legitimacy influences the relative emphasis firms place on each pathway. High-legitimacy firms may face stronger pressure to pursue authentic transformation, but may also be better positioned to selectively signal. Regulatory and normative contexts further shape whether legitimacy functions as a driver of transformation or a buffer for symbolic behavior.

Crucially, we define stakeholder legitimacy as an audience-conferred evaluation of a firm's appropriateness and credibility in a given sociocultural context, distinguishing it from the legitimacy-seeking activities (e.g., ESG communications, certifications, or high-visibility initiatives). This distinction clarifies that legitimacy is an evaluative outcome, whereas signaling is a strategic input. We define ESG washing as misleading or disproportionate signaling relative to operational reality, distinguishing it from symbolic communication that accompanies substantive change. On this foundation, we theorize how legitimacy pressures can jointly motivate substantive BMI and symbolic ESG gestures.

This study advances theory by making three contributions to research on legitimacy, signaling, and ESG-related organizational change. First, we sharpen the conceptual boundary between stakeholder legitimacy (i.e., an audience-conferred evaluation) and firm-initiated signals, reducing construct conflation and clarifying mechanisms linking external pressures to organizational responses. Second, we reconceptualize BMI and ESG washing not as mutually exclusive outcomes but as elements of a hybrid repertoire that can co-occur. Third, we theorize boundary conditions that govern firms' allocation between symbolic and substantive actions.

Together, these contributions extend prevailing accounts by decoupling legitimacy from the activities used to obtain it, specifying a hybrid mechanism that links legitimacy pressure to both substantive and symbolic change, and identifying conditions under which firms lean toward one path or maintain both. Unlike prior work that treats legitimacy as either a force for transformation or a cover for decoupling, our framework highlights simultaneity, allocation, and audience-centric evaluation as core to understanding ESG-related organizational change.

2 | Theoretical Framework: Stakeholder Legitimacy and ESG Strategies

As ESG factors become central to corporate strategy, firms face growing pressure to manage heterogeneous stakeholder expectations. A core challenge is achieving stakeholder

legitimacy, an audience-conferred evaluation that a firm's actions are appropriate within prevailing social norms (Suchman 1995). Firms perceived as legitimate gain trust and market support, while those that fail risk reputational and regulatory damage (Gatti et al. 2019; Hadani 2024). According to legitimacy theory, firms adopt ESG strategies to secure long-term survival and access to critical resources (Deegan 2009; Suchman 1995).

However, legitimacy is not inherently virtuous and can be strategically manipulated (Haack and Rasche 2021). This creates a paradox: Some firms leverage legitimacy to undertake sustainable BMI, whereas others exploit it to engage in ESG washing—making misleading or disproportionate symbolic claims with limited operational change (Lee and Raschke 2023). This ethical divergence suggests that a firm's response to sustainability demands may not reflect genuine ethical intent. Some embed sustainability into their strategy, while others use symbolic gestures to mislead stakeholders (Berrone et al. 2017).

This raises the critical question: under what conditions does legitimacy pressure translate into responsible transformation rather than symbolic compliance? While legitimacy can foster responsible innovation (Gatti et al. 2019), firms enjoying high legitimacy may nonetheless resort to impression management when competitive or cost constraints bind (Lee and Raschke 2023); credibility can buffer scrutiny and delay sanctions (Hadani 2024; Siraz et al. 2023).

To clarify our analysis, we distinguish between two concepts. We define stakeholder legitimacy as an outcome, an evaluation conferred by external audiences (investors, customers, media). In contrast, legitimacy-seeking activities are the means by which firms send signals, such as ESG disclosures, awards, or partnerships, to influence those evaluations. This distinction prevents confusion between the goal (legitimacy) and the strategy (signaling).

Firms often pursue both substantive and symbolic actions simultaneously. Under legitimacy pressure, firms may prompt deep operational changes (substantive responses) while running impression-focused campaigns (symbolic responses). They do so to address heterogeneous audiences, reconcile mismatched time horizons as substantive change unfolds more slowly, and hedge against environmental and regulatory uncertainty. Accordingly, we conceptualize legitimacy as expanding a firm's response portfolio along two dimensions (i.e., BMI and ESG washing) whose relative emphasis varies with governance scrutiny, resource availability, and stakeholder exposure.

Existing theories do not fully explain this dual behavior. Legitimacy theory and institutional theory emphasize conformity (Deegan 2009; DiMaggio and Powell 1983; Suchman 1995), but they struggle to account for divergence among firms facing similar pressures. These theories often treat legitimacy as a passive constraint, overlooking strategic allocation across response types.

Signaling theory (Spence 1973) fills this gap by specifying how firms actively construct and transmit signals to shape stakeholder perceptions. It highlights strategic agency, clarifying

how firms differentiate themselves through credible or misleading signals. Credible signals include substantive actions such as adopting circular-economy models or enhancing supply-chain transparency; misleading signals include publishing vague sustainability reports or selectively disclosing positive data (Gatti et al. 2019). By integrating signaling with legitimacy and institutional perspectives, we develop a framework that treats legitimacy as morally ambivalent—capable of enabling both genuine progress and strategic deception—and identifies boundary conditions that govern firms' allocation between substantive and symbolic responses. This integration advances the theoretical understanding of corporate ethics and sustainability governance and offers practical guidance for navigating the complexities of sustainability governance.

Table 1 provides a comparative overview of the theoretical foundations underpinning our framework. While prior research has made significant contributions to understanding legitimacy, institutional pressures, and corporate sustainability strategies, each stream has treated these phenomena largely in isolation. Legitimacy theory emphasizes stakeholder perceptions but often assumes that legitimacy-seeking behaviors inherently align with societal good. Institutional theory explains how coercive and normative pressures shape organizational conformity, but it does not adequately account for why firms with similar legitimacy status pursue divergent ESG strategies. BMI research centers on substantive transformation with limited treatment of symbolic responses. Similarly, research on ESG washing documents deceptive practices but rarely examines these within a unified framework alongside authentic change.

Our study integrates signaling, legitimacy, and institutional theories to explain the dual pathways firms may pursue under stakeholder legitimacy pressures. Signaling theory provides the mechanism by which firms strategically deploy credible signals (BMI) or misleading signals (ESG washing) to manage stakeholder perceptions. Legitimacy theory supplies the motivation such that firms seek to gain or maintain stakeholder approval and resource access. Institutional theory provides the boundary conditions such that regulatory and normative pressures moderate whether legitimacy pressures are translated into substantive innovation or symbolic compliance. This integrative approach allows us to reconcile conflicting theoretical predictions and empirically demonstrate that legitimacy is ethically ambivalent, capable of driving both authentic transformation and enabling opportunistic deception, depending on the institutional context.

3 | Hypotheses Development

We acknowledge that firms do not necessarily face a stark either/or decision. Many firms engage in decoupling—publicly committing to ESG policies and rhetoric (a form of BMI) while maintaining gaps between stated commitments and actual practices (a form of ESG washing). However, our hypotheses focus on the directional effects of stakeholder legitimacy: whether it increases the substantive BMI (H1) and decreases the deceptive washing (H2), even when both may be present to varying degrees. These directional predictions are conditioned by institutional pressures, which shape relative emphasis within firms' response portfolios.

TABLE 1 | Review of relevant studies on ESG paradox.

Study	Focus	Key concept	Theoretical approach	Outcome variables	Gaps/ limitations	Contribution
Suchman (1995); Deegan (2009)	Legitimacy theory	Legitimacy as socially conferred status; firms seek alignment with societal norms	Legitimacy-seeking as alignment with stakeholder expectations	Stakeholder trust, resource access, organizational survival	Assumes legitimacy-seeking aligns with societal good; overlooks strategic manipulation	Foundational understanding of legitimacy as social judgment
DiMaggio and Powell (1983); Fernando and Lawrence (2014)	Institutional theory	Coercive, normative, mimetic pressures drive organizational conformity and isomorphism	Isomorphic pressures lead to conformity	Organizational homogeneity, adoption of similar practices	Does not explain divergent responses among firms with similar legitimacy	Framework for understanding environmental pressures
Spence (1973); Bhattacharyya and Cummings (2015)	Signaling theory	Firms send signals (credible or misleading) to reduce information asymmetry	Strategic communication to influence stakeholder perceptions	Stakeholder perceptions, investment decisions	Primarily focuses on communication; less on institutional context	Mechanism for understanding firm-stakeholder communication
Bocken et al. (2014); Ritala et al. (2018); França et al. (2017)	Business model innovation (BMI)	Transformative redesign of business models to embed sustainability principles	Value creation beyond financial gains (triple bottom line)	Sustainable value creation, competitive advantage	Limited integration with legitimacy and institutional perspectives	Framework for sustainable transformation
Berrone et al. (2017); Lee and Raschke (2023); Pope and Wæraas (2016)	ESG washing/greenwashing	Symbolic compliance and misleading sustainability claims without substantive change	Decoupling policy from practice; impression management	Reputational benefits without substantive ESG improvements	Typically studied in isolation from authentic ESG engagement	Identification of deceptive sustainability practices
Walker and Wan (2012); Gatti et al. (2019)	Legitimacy and corporate performance	Legitimacy provides reputational capital and resource access	Legitimacy as resource-dependent factor	Financial performance, market valuation	Does not clarify when legitimacy promotes ethics vs. opportunism	Link between legitimacy and organizational outcomes

(Continues)

TABLE 1 | (Continued)

Study	Focus	Key concept	Theoretical approach	Outcome variables	Gaps/limitations	Contribution
Burdon and Sorour (2020); Heugens and Lander (2009); Philippe and Durand (2011)	Institutional pressures (regulatory and normative)	Regulatory (formal) and normative (informal) pressures shape organizational ESG strategies	Institutional environment as boundary condition	ESG strategy formation, compliance behaviors	Treats legitimacy as passive constraint; overlooks strategic agency	Distinction between regulatory and normative pressures
Hadani (2024); Siraz et al. (2023)	Legitimacy as shield for deception	High legitimacy can shield firms from scrutiny, enabling ESG washing	Legitimacy buffer protects from stakeholder backlash	ESG washing prevalence among high-legitimacy firms	Does not explain institutional conditions enabling this paradox	Recognition of legitimacy as potential facilitator of deception
Crossley et al. (2021); Sonpar et al. (2010)	Legitimacy-seeking behaviors	Legitimacy-seeking can lead to symbolic adoption or authentic transformation	Over-emphasis on legitimacy can undermine effectiveness	Symbolic vs. substantive organizational responses	Lacks empirical examination of moderating institutional factors	Identification of paradoxical effects of legitimacy
This study	Integrated framework: legitimacy, BMI, and ESG washing	Legitimacy as double-edged: drives both authentic BMI and enables ESG washing	Integration of legitimacy, signaling, and institutional theories	Both BMI (substantive) and ESG washing (symbolic)	Addressed through empirical analysis	Reconciles legitimacy paradox by identifying when it drives BMI vs. ESG washing; integrates signaling theory with institutional moderators

3.1 | Stakeholder Legitimacy and Business Model Innovation

As stakeholder awareness of ESG issues continues to grow, firms are increasingly expected to pursue genuine sustainability practices rather than engage in deceptive ESG behaviors that mislead stakeholders. Stakeholder legitimacy reflects the extent to which a firm's actions are perceived as desirable, appropriate, and credible within its institutional environment, reinforcing its ability to attract ESG-conscious investors, regulatory support, and market trust (Lokuwaduge and Heenetigala 2017; Suchman 1995). Operating within a complex web of stakeholder relationships, firms rely on legitimacy as a mechanism to establish credibility and secure trust (Suchman 1995). Thus, firms with high stakeholder legitimacy face an ethical imperative to seek societal approval and maintain stakeholder trust (Deegan 2009; Suchman 1995), respond to legitimacy pressures by addressing stakeholder demands (DiMaggio and Powell 1983), and actively signal their ESG commitments (Spence 1973). We posit that firms with high stakeholder legitimacy are more likely to engage in authentic, ethically responsible transformations, such as BMI, primarily for three key reasons.

First, firms with high stakeholder legitimacy are subject to greater scrutiny from stakeholders, who expect genuine, ethically responsible transformation, such as BMI, rather than superficial ESG-washing practices. BMI is a transformative approach that involves fundamentally redesigning business models to embed sustainability principles at their core, shifting from a sole focus on financial gains to addressing broader social and environmental objectives (Bocken et al. 2014; Ritala et al. 2018). This innovation aims to create value beyond the firm, benefiting society, the environment, and the economy—a concept known as the triple bottom line (Bocken et al. 2014). Stakeholders actively assess whether firms' sustainability strategies translate into tangible ESG performance rather than mere performative gestures (Drempetic et al. 2020). As firms gain legitimacy, they face growing expectations from investors, regulators, and consumers to demonstrate measurable ESG impact rather than relying on surface-level disclosures (Lee and Raschke 2023; Meyer and Rowan 1977). Consequently, firms with high legitimacy must uphold ethical accountability by committing to authentic BMI, as failing to align ESG claims with substantive action risks being perceived as deceptive, violating stakeholder ethical expectations, and potentially eroding legitimacy and trust. Given these pressures and increased scrutiny, high-legitimacy firms are compelled to provide credible ESG signals through substantive BMI rather than resorting to symbolic compliance.

Second, firms with high stakeholder legitimacy have greater access to financial and institutional resources, which facilitate BMI. Achieving sustainability through BMI requires continuous capital investment, often leading to increased operational costs and financial burdens (Bocken et al. 2019). However, firms with strong legitimacy attract ESG-conscious investors and institutional support, both of which provide the capital and governance infrastructure necessary to implement long-term, large-scale sustainability initiatives (Walker and Wan 2012). Investors seeking long-term ESG-driven returns prioritize firms that undertake structural transformations, such as redesigning production processes to reduce carbon footprints or integrating renewable

energy into operations (Bocken et al. 2014). Additionally, institutional actors—including sustainability rating agencies and industry coalitions—offer incentives such as sustainability-linked financing, preferential tax policies, and investment backing for firms engaged in meaningful ESG transitions (Kandpal et al. 2024), facilitating substantive ESG-centric business model transformation.

Third, high-legitimacy firms are more likely to adopt sustainable innovations to mitigate future regulatory and market risks. As ESG regulations tighten and stakeholder activism grows, firms with established legitimacy have strong incentives to integrate sustainable business models before compliance pressures intensify (Lee and Raschke 2023). By proactively investing in BMI, these firms can maintain market leadership, differentiate themselves from competitors, and reinforce their credibility with ESG-focused investors and consumers (Lee and Raschke 2023). In contrast, firms that fail to embed sustainability into their business models may risk stakeholder disengagement and long-term financial instability in an increasingly ESG-driven marketplace. Thus, high-legitimacy firms strategically integrate sustainability into their business models to maintain long-term relevance, minimize regulatory uncertainties, and strengthen stakeholder relationships.

In summary, high-legitimacy firms are structurally incentivized to send credible ESG signals through tangible sustainability innovations such as BMI because they are held to higher ethical standards, have access to ESG-driven financial and institutional support, and seek to avoid regulatory and market risks. Therefore, we propose the following:

Hypothesis 1. *Firms with high stakeholder legitimacy pressure are more likely to use genuine sustainability practices such as business model innovation relative to ESG washing.*

3.2 | Stakeholder Legitimacy and ESG Washing

With growing stakeholder sensitivity to ESG issues, firms face increasing pressure to outperform competitors by presenting a positive—yet often misleading—impression of their ESG performance (Torelli et al. 2020). As a result, many firms seek to build or maintain legitimacy by appearing to meet stakeholder expectations, even if their commitment to sustainability remains superficial—a practice known as ESG washing (Roulet and Touboul 2015). ESG washing refers to the strategic use of misleading sustainability claims to create a superficial perception of effective ESG management without substantive changes to business practices (Lee and Raschke 2023; Li et al. 2023). Firms often employ imagery and peripheral cues, such as verbal appeals like “eco-friendly,” to send misleading signals and induce false perceptions of ESG performance (Torelli et al. 2020). While this deceptive strategy offers the allure of short-term gains, it represents a socially irresponsible and unethical path for firms seeking immediate financial and reputational benefits (Zhang 2022). In this context, stakeholder legitimacy has become a critical corporate asset, as high ESG scores create positive perceptions of ESG performance, influencing stakeholders' investment decisions and purchasing behavior (Torelli et al. 2020). We posit that high stakeholder legitimacy generally

incentivizes firms to engage in responsible ESG practices, but it also functions as an ethical safeguard against deceptive sustainability strategies such as ESG washing, primarily for three key reasons.

First, high-legitimacy firms are subject to greater ethical scrutiny, which constrains their ability to engage in ESG washing. These firms face heightened oversight from investors, consumers, regulatory agencies, and sustainability watchdogs, making it more difficult to issue misleading ESG claims without detection (Lee and Raschke 2023). Unlike firms with low visibility, those with established legitimacy are held to higher ethical and accountability standards, thus bearing stronger moral obligations to maintain transparency and authenticity (Haack and Rasche 2021). Engaging in ESG washing not only violates ethical norms but also undermines the social contract between businesses and stakeholders (Fernando and Lawrence 2014). With increasing regulatory pressures on ESG disclosures and growing demands for ethical corporate conduct, stakeholders expect high-legitimacy firms to provide transparent and verifiable sustainability reports, making it difficult for them to manipulate ESG narratives without consequences. As a result, the heightened scrutiny surrounding these firms reduces the likelihood of ESG washing.

Second, firms with strong stakeholder legitimacy have fewer incentives to engage in ESG washing since they already benefit from ESG-driven advantages. High-legitimacy firms earn stakeholder trust and position themselves as ESG leaders, securing consistent investment inflows and stakeholder endorsements, reducing the need to exaggerate their sustainability efforts to attract investment or consumer support (Walker and Wan 2012). Moreover, high ESG ratings—a key indicator of strong stakeholder legitimacy—signal that these firms are already excelling in environmental, social, and governance performance, unlike firms with low ratings (Drempetic et al. 2020). As a result, firms with strong ESG performance have little reason to resort to ESG-washing tactics, which are typically used to compensate for deficiencies in actual ESG conduct. In contrast, firms with weaker legitimacy are more likely to engage in symbolic ESG actions, overstating their sustainability efforts to artificially enhance their appeal and attract investors who prioritize sustainability metrics, even when their claims lack substance (Lee and Raschke 2023).

Third, high-legitimacy firms face greater reputational risks if exposed to ESG washing. When firms with strong stakeholder legitimacy are caught engaging in misleading ESG practices, the consequences are more severe due to the reputational capital at stake (Schaltegger et al. 2019). Firms that have built their brand identity around sustainability commitments face heightened backlash when their ESG claims are exposed as deceptive. For instance, Volkswagen's Dieselgate scandal and Nestlé's palm oil controversy demonstrate how high-legitimacy firms suffer amplified reputational and financial consequences and even risks to organizational survival when they fail to uphold sustainability commitments (Chiu and Sharfman 2018; Gatti et al. 2021). In contrast, firms with weaker legitimacy may experience fewer consequences for ESG washing, as stakeholders already approach their sustainability claims with skepticism. Given that the substantial risks of ESG misrepresentation outweigh

potential short-term gains, high-legitimacy firms have strong incentives to avoid ESG-washing practices.

In summary, high-legitimacy firms are less likely to send misleading signals through ESG washing because they face greater ethical expectations, possess strong ESG credentials, and have more to lose from reputational damage. Therefore, we propose the following:

Hypothesis 2. *Firms with high stakeholder legitimacy pressure are less likely to use deceptive sustainability practices such as ESG washing relative to BMI.*

Institutional theory distinguishes between coercive pressures (e.g., regulatory mandates) and normative pressures (e.g., societal or industry norms) as key forces shaping organizational behavior (Burdon and Sorour 2020; Heugens and Lander 2009). In our context, these institutional pressures can moderate how stakeholder legitimacy influences firm responses. From a stakeholder theory perspective, when stakeholders are viewed as legitimate, firms are motivated to address their concerns in order to maintain organizational support and legitimacy (De Roeck and Delobbe 2012). This often entails making substantive changes—such as innovating the business model to create sustainable value—rather than resorting to superficial compliance. Indeed, stakeholders tend to reward firms that walk the talk on ESG issues and punish those that merely talk (i.e., engage in ESG washing) (Andrassy et al. 2024). However, whether a firm responds to legitimate stakeholders with genuine innovation or with symbolic gestures can depend on the wider institutional environment. Below, we develop hypotheses for the moderating roles of regulatory (coercive) and normative pressures on the relationship between stakeholder legitimacy and two outcomes: BMI and ESG washing.

3.3 | The Moderating Effect of Regulatory Pressure

Regulatory pressure represents formal, coercive constraints (laws, regulations, and enforcement) that compel firms toward certain standards (Okhmatovskiy and David 2012; Tan 2009). According to institutional theory, coercive pressures can drive organizations to adopt more substantive practices to comply with legal requirements and avoid sanctions (Burdon and Sorour 2020). In the environmental domain, for example, mandatory regulations have a strong positive influence on firms' environmental performance (Walls et al. 2012). This suggests that a stringent regulatory context raises the baseline of required action, reducing the latitude for mere window-dressing (Chelli et al. 2018). When stakeholder demands for sustainability are legitimate (i.e., broadly accepted as appropriate), the presence of robust regulation should further encourage firms to respond proactively and substantively to these demands (Aragón-Correa et al. 2020). Regulatory pressure can reinforce stakeholders' calls for change by "raising the stakes" of non-compliance or inaction. Firms facing high regulatory pressure may view innovative changes not just as optional responses to stakeholders but as necessary strategic adaptations to align with evolving rules and avoid penalties. Stricter environmental regulations can even spur innovation

by prompting firms to find creative ways to meet new standards. Empirical research confirms that regulatory pressure, in conjunction with stakeholder pressure, drives greater green innovation performance (Huang et al. 2016). Thus, under a regime of strong regulatory pressure, a firm that acknowledges stakeholder legitimacy is more likely to undertake BMI (e.g., developing sustainable products or new delivery models) as a substantive solution. In other words, regulation amplifies the positive impact of stakeholder legitimacy on real innovation outcomes. We, therefore, hypothesize the following.

Hypothesis 3a. Regulatory pressure positively moderates the relationship between stakeholder legitimacy pressure and business model innovation, such that regulatory pressure strengthens the positive effect of stakeholder legitimacy pressure on business model innovation.

Regulatory pressure can likewise influence the tendency of firms to engage in ESG washing. ESG-washing is often a symptom of weak enforcement environments, where firms can get away with symbolic gestures (Marquis et al. 2016). Under strong regulatory scrutiny, however, the risks of deceptive ESG claims increase, and regulators may impose penalties for misreporting. Furthermore, mandatory disclosure requirements make it harder to hide poor performance (Kim and Lyon 2015). Prior studies find that government and regulator attention can deter firms' symbolic actions (Perez-Batres et al. 2012). In fact, without effective monitoring systems, voluntary programs see rampant symbolic participation and greenwashing, undermining their credibility (Seele and Schultz 2022). Regulatory pressure thus serves as a disciplining force: it raises the probability that insincere compliance will be detected and sanctioned (Heckathorn 1990). In a strict regulatory environment, firms cannot rely on empty rhetoric to please stakeholders. Instead, they must show real compliance and performance (Malesky and Taussig 2017). Consequently, when stakeholders' claims are legitimate, high regulatory pressure will push firms even more towards genuine improvements and transparency, strengthening the negative relationship between stakeholder legitimacy and ESG washing (i.e., making it even less likely that a firm resorts to ESG washing if its stakeholders are legitimate). Thus, we hypothesize as below.

Hypothesis 3b. Regulatory pressure negatively moderates the relationship between stakeholder legitimacy pressure and ESG washing, such that regulatory pressure strengthens the negative effect of stakeholder legitimacy pressure on ESG washing.

3.4 | The Moderating Effect of Normative Pressure

Normative pressure arises from social expectations, industry norms, and values that define appropriate organizational behavior (Colwell and Joshi 2013). This includes pressures from the public, professional bodies, or NGOs that encourage firms to conform to certain ethical or sustainable standards (Philippe and Durand 2011). Normative pressures often lead to isomorphic behaviors—firms mimic widely accepted practices to appear legitimate in the eyes of society or peers (Colwell and Joshi 2013). Unlike formal regulation, normative guidelines are typically voluntary and lack enforcement power (Hillary

and Thorsen 1999). Institutional theory suggests that in the absence of coercive enforcement, organizations may satisfy normative demands in more superficial ways to preserve legitimacy (Hyatt and Berente 2017). For instance, companies may adopt ceremonial policies or sustainability charters and publicize their compliance without making deep changes simply because “everyone is doing it.” Research shows that voluntary initiatives frequently result in only incremental or symbolic adjustments by firms (Delmas and Montes-Sancho 2010). In other words, when pressure comes mainly from norms and not laws, firms often do just enough to signal alignment with prevailing expectations (Aragón-Correa et al. 2020).

In the context of BMI, strong normative pressure could paradoxically dampen the impetus for radical innovation. If an industry's norms emphasize certain standard practices or incremental improvements, a firm may feel constrained from venturing into unproven business model changes, even if stakeholders advocate for more transformative innovation. An excessive focus on conforming to external norms can create a legitimacy trap—The firm prioritizes looking legitimate over pursuing bold initiatives (Miller et al. 2013). For instance, Sonpar et al. (2010) note that too much emphasis on legitimacy-seeking can backfire, leading to stakeholder mismanagement and undermining organizational effectiveness. In our case, when normative pressures are high, a company might believe that adhering to common sustainability routines (e.g., obtaining an industry certification or following CSR best practices) is sufficient to satisfy stakeholders and society. This can weaken the influence of truly legitimate stakeholder demands for deeper change. Put differently, even if stakeholders push for sustainability-oriented innovation, a normatively pressured firm might opt for safer, conventional responses to maintain its image rather than invest in novel BMIs. Thus, we expect the positive effect of stakeholder legitimacy on BMI to be attenuated under strong normative pressure as below.

Hypothesis 4a. Normative pressure negatively moderates the relationship between stakeholder legitimacy and business model innovation, such that normative pressure weakens the positive effect of stakeholder legitimacy on business model innovation.

Finally, we consider normative pressure's impact on the likelihood of ESG washing. On one hand, a strong sustainability ethos in society could discourage blatant ESG washing by making authenticity a norm. Indeed, global normative pressures for transparency can mobilize civil society and expose dishonest firms (Philippe and Durand 2011). On the other hand, if normative pressure emphasizes outward conformity, firms might engage in “ritualistic” ESG activities—producing glossy sustainability reports and joining popular pledges—to signal alignment without substantially changing their core operations (Clementino and Perkins 2021). In environments with many symbolic ESG norms, organizations may find it easier to coast on general goodwill as long as they follow the herd. For instance, Aragón-Correa et al. (2020) observe that in voluntary programs (a form of normative pressure), opportunistic behaviors like greenwashing are all too common precisely because there is no binding accountability. Thus, even when stakeholder pressures would otherwise drive a firm to reduce ESG hypocrisy, a high-normative-pressure context can provide cover for maintaining appearances. Firms may feel that as long as they

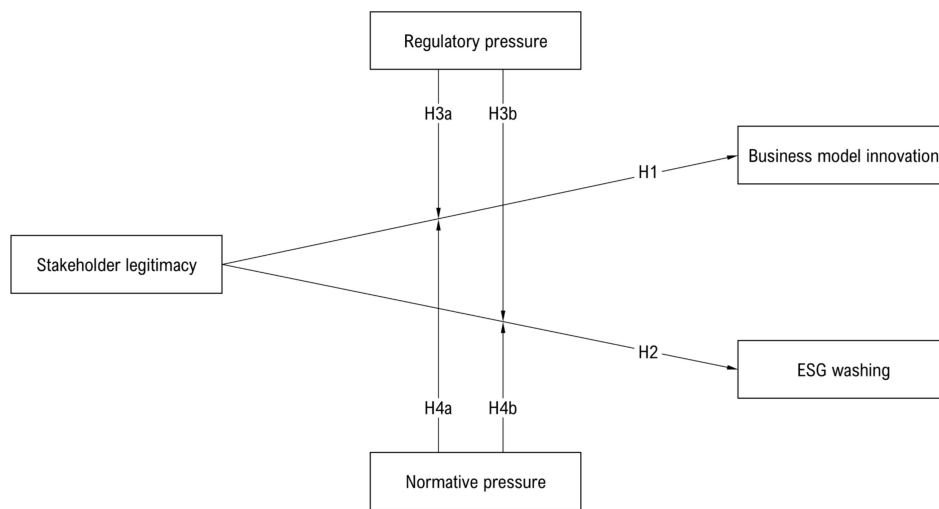


FIGURE 1 | Theoretical framework.

meet industry-wide expectations on reporting or rhetoric, the marginal benefit of fully addressing every stakeholder concern is lower. In essence, normative pressure can dilute the strength of stakeholder-driven opposition to ESG washing. Thus, we propose that when normative pressures are intense, the negative link between stakeholder legitimacy and ESG washing becomes weaker (i.e., legitimate stakeholders' ability to deter ESG washing is compromised by the firm's need to conform to prevailing norms). Thus, we expect the following.

Hypothesis 4b. *Normative pressure positively moderates the relationship between stakeholder legitimacy and ESG washing, such that normative pressure weakens the negative effect of stakeholder legitimacy on ESG washing.*

Figure 1 conceptually illustrates the integration of all hypotheses within the proposed theoretical framework.

4 | Data and Methodology

4.1 | Data Collection

To empirically examine the proposed hypotheses, we draw on primary data collected from South Korea (hereafter Korea), which offers a particularly relevant and insightful context for this analysis. The growing emphasis on ESG management in Korea is reinforced by BlackRock CEO Larry Fink's declaration that ESG considerations are critical criteria for investment decisions (Chen and Lee 2024). In alignment with this trend, leading Korean firms actively showcase their ESG initiatives, share ESG-focused content on their official websites, and bolster their legitimacy with stakeholders by emphasizing their dedication to these practices. Simultaneously, the Korean government has taken proactive measures to encourage ESG practices among firms. Since 2022, KOSPI-listed firms with total assets exceeding 1 trillion won have been required to disclose information about their green practices and social responsibility efforts. This requirement is set to progressively expand to include all KOSPI-listed companies by 2030, with implementation phased according to total asset size. As a result, a growing number of Korean

firms are voluntarily adopting ESG initiatives to strengthen stakeholder legitimacy. However, despite publicly emphasizing their commitment to ESG management, some firms have faced substantial criticism following revelations that their actual ESG practices were inadequate. For instance, prominent securities firms in Korea that had declared a focus on ESG finance were discovered to have played a central role in financing coal-fired power plants.

The questionnaire was initially developed in English and then translated into Korean by a fellow bilingual Korean researcher majoring in English language and literature (Roh et al. 2023). To ensure conceptual equivalence congruence (Hoskisson et al. 2000), both versions of the questionnaire were reviewed by a professor fluent in both languages and with considerable research experience in related fields in Korea. Additionally, the questionnaire underwent pre-testing to validate its instruments with 10 managers from leading firms in Korea who were well-versed in ESG practices. Based on their feedback, any questions deemed ambiguous or difficult to interpret were revised or reworded to enhance clarity and comprehension.

Our survey targeted managers directly responsible for or deeply engaged in their firms' ESG activities in Korea. To ensure the collection of a representative sample, we employed the following approach. Using convenience sampling techniques based on respondents' accessibility and willingness to participate, a power analysis determined that the minimum required sample size was 142. However, to account for potential dropouts, we adopted a multi-wave sampling design aiming for a larger sample size, as participants who complete the first wave often do not respond in subsequent waves (Hillygus and Snell 2015).

To ensure a sufficient sample, we collaborated with KoDATA, one of the largest research institutes in Korea, specializing in corporate sampling (Lee et al. 2024). Established as a private credit rating information firm, KoDATA maintains a database of 12 million firms. For this study, KoDATA sent questionnaires to the top 1000 domestic firms, ensuring the sample was systematically stratified by region and industry to align with the study's objectives. The firm list included details such as firm

history, website, and the contact information of the person in charge.

Using the key informant approach (Phillips 1981), we targeted senior executives within these firms as key respondents, including the CEOs, vice presidents, general managers, and ESG managers. KoDATA contacted the selected firms via email, followed by phone calls, to encourage participation. Data collection spanned approximately 3 months, from April to June 2023. To guarantee consistency between Time 1 (T1) and Time 2 (T2), each firm was assigned a specific code to align responses from both waves (Maxwell et al. 2011). Data were collected from the same participants at both T1 and T2. After identifying and addressing missing values, we recorded 676 responses in the first wave and 478 responses in the second wave, resulting in a response rate of 47.8%.

The characteristics of the samples are reported in Table 2. The sample firms were divided into two groups based on industry type: manufacturing and service. The number of firms in the manufacturing industry was 362 (75.73%), which showed a significant difference from the service industry with 116 samples (24.27%). Among the responses, the most frequent firm age was 16–30 years ($N=182$, 38.08%), followed by 97 firms (35.39%) being 35–50. The most frequent response regarding firm size was 51–250 employees ($N=295$, 61.72%). To evaluate potential non-response bias, we categorized respondents into two groups based on their responsiveness (i.e., early vs. late respondents). A chi-square test revealed no significant differences between the two groups in terms of demographic characteristics, suggesting that non-response bias is unlikely to affect our results (Armstrong and Overton 1977).

TABLE 2 | Sample characteristics ($N=478$).

Characteristics	Frequency (N)	Percentage (%)
Industry type		
Manufacturing	362	75.73
Service	116	24.27
Firm age		
<5	40	8.37
5–15	83	17.36
16–30	182	38.08
31–50	97	20.29
>50	76	15.90
Firm size (number of employees)		
<50	54	11.30
51–250	295	61.72
251–500	67	14.02
501–1000	40	8.36
>1000	22	4.60

4.2 | Variables

All questionnaire items were measured from 1 (strongly disagree) to 7 (strongly agree) using a Likert seven-point scale. An in-depth literature review was undertaken to identify valid measures of related constructs. Table 3 presents the multi-item measures.

First, to measure stakeholder legitimacy, the four items adapted to the context of our study were used according to research developed by (Miotto et al. 2020; Yang et al. 2012). While stakeholder legitimacy is defined as the approval of a firm's actions by external stakeholders, it is more valuable to assess the direct benefits to firms, such as fostering stronger relationships with core stakeholders (Wang and Qian 2011), which may stem from enhancing their legitimacy. Second, regulatory pressure was derived from prior research (Lee et al. 2024; Liao 2018), capturing the perceived impact of government-imposed regulations aimed at restricting environmental pollution and promoting sustainability. Third, normative pressure was adopted based on previous literature (Lee et al. 2024; Yu et al. 2017), and respondents were asked to evaluate the perceived pressure of stakeholders to improve sustainability in carrying out business activities through four questions. Fourth, regarding the composition of BMI, we asked whether firms are innovating their products/services, capabilities, internal mechanisms, and value creation activities based on existing studies (Anwar and Ali Shah 2020; Miroshnychenko et al. 2021). Finally, ESG washing was operationalized using four items adapted from prior studies (Chen and Chang 2013; Parguel et al. 2011), with contextual modifications to reflect ESG-specific communication practices. These items capture the extent to which firms exaggerate or misrepresent their ESG performance through ambiguous, unverifiable, or misleading claims. Because ESG washing is conceptually sensitive and difficult to measure, items were carefully aligned with established definitions of decoupling, greenwashing, and symbolic compliance to ensure conceptual precision and measurement validity. To account for potential confounding influences, we included commonly used control variables in sustainability research: industry type, firm age, and firm size (Park 2018). These variables help isolate the effects of legitimacy pressures and institutional conditions on firms' ESG-related strategic responses (Lee et al. 2025; Lee et al. 2024).

4.3 | Analysis Methods

PLS-SEM is an analysis method that demonstrates the relationship between variables and the process of constructing latent variables by factorizing observation variables (Hair et al. 2023). PLS-SEM is a methodology that can maximize the explanatory power pertaining to the relationship between the latent variable and the dependent variable by discovering optimized elements through factor analysis. PLS-SEM has the advantage of being relatively free from sample size because the normality required for multivariate analysis is not required. In this study, the PLS-SEM method was verified using SmartPLS 4.0.9.2.

Although PLS-SEM is generally less sensitive to endogeneity issues than covariance-based approaches, endogeneity can still

TABLE 3 | Descriptive statistics, confirmatory factor loadings, and convergent validity.

Construct	Code	Scale item	SFL
Stakeholder legitimacy	CA = 0.945, CR = 0.960, rho_A = 0.948, AVE = 0.858 (Miotto et al. 2020; Yang et al. 2012)		
	LEG1	Our firm's activities promote positive relationships with stakeholders.	0.913
	LEG2	Our firm's activities strengthen our connections with stakeholders.	0.944
	LEG3	Our firm's activities enhance stakeholders' trust and recognition of our firm.	0.946
	LEG4	Our firm's activities contribute to stakeholders' growth and well-being.	0.901
Regulatory pressure	CA = 0.949, CR = 0.963, rho_A = 0.949, AVE = 0.867 (Lee et al. 2024; Liao 2018)		
	RIP1	It is important for our firm to comply with the government's strict regulations on improving social sustainability.	0.948
	RIP2	Government policy (e.g., preferential tax) has increased our firm's willingness to implement innovation to enhance social sustainability.	0.924
	RIP3	Implementing innovation to enhance social sustainability is beneficial for our firm to receive the local government's favorable treatment.	0.937
	RIP4	The innovations to enhance the social sustainability of our firm will be influenced by government funding.	0.914
Normative pressure	CA = 0.929, CR = 0.949, rho_A = 0.931, AVE = 0.824 (Lee et al. 2024; Yu et al. 2017)		
	NIP1	Customers are putting pressure on the management of our firm to adopt practices to increase social sustainability.	0.882
	NIP2	Suppliers are putting pressure on the management of our firm to adopt practices to increase social sustainability.	0.933
	NIP3	The actions of competitors put pressure on the management of our firm to adopt practices to increase social sustainability.	0.913
	NIP4	Our firm's shareholders pressure management to adopt practices to increase social sustainability.	0.901
Business model innovation	CA = 0.947, CR = 0.962, rho_A = 0.947, AVE = 0.863 (Anwar and Ali Shah 2020; Miroshnychenko et al. 2021)		
	BMI1	Our firm enhances its internal mechanisms to promote sustainability.	0.926
	BMI2	Our firm strengthens core capabilities and resources to foster sustainability.	0.936
	BMI3	Our firm advances value-creation activities to drive sustainability.	0.949
	BMI4	Our firm improves products and services to support sustainability.	0.904
ESG washing	CA = 0.950, CR = 0.964, rho_A = 0.951, AVE = 0.869 (Chen and Chang 2013; Parguel et al. 2011)		
	WAS1	Our firm's ESG practice standards are somewhat ambiguous or difficult to prove.	0.947
	WAS2	Our firm values the formal aspect of ESG practice.	0.918
	WAS3	Our firm makes some corrections to announce ESG practice performance that is still insufficient.	0.934
	WAS4	Our firm does not have a clear ESG performance, but it is known to be good at ESG management around it.	0.930

Note: All correlations are statistically significant at $p < 0.01$.

Abbreviations: AVE, average variance extracted; CA, Cronbach's alpha; CR, composite reliability; rho_A, Dijkstra and Henseler's composite reliability; SFL, standardized factor loading.

arise from omitted variables, measurement error, or reciprocal causality. To mitigate such risks, we implemented several procedural and statistical remedies. First, our multi-wave data collection design reduced common method bias by separating the

measurement of predictor and outcome variables. Second, the structural model followed a theoretically grounded causal ordering based on prior research, reducing the likelihood of reverse causality. Third, we assessed full collinearity variance inflation

factors (VIFs) as recommended by Kock and Lynn (2012) to detect potential endogeneity from unobserved confounders; all VIF values were well below recommended thresholds. Taken together, these procedures enhance confidence that the estimated structural relationships reflect substantive effects rather than statistical artifacts.

4.4 | Measurement Assessment

To confirm the acceptability of the study, the reliability, convergence validity, and discriminatory validity of the research model were verified. We conducted a confirmatory measurement to examine the reliability and validity of our measures ($\chi^2(179)=966.716$, $p<0.001$, comparative fit index [CFI]=0.937, normed fit index [NFI]=0.924, incremental fit index [IFI]=0.924, Tucker–Lewis index [TLI]=0.926, standardized root mean squared residual [SRMR]=0.045, root mean square error of approximation [RMSEA]=0.096), suggesting that the measurement model adequately represents the data (Anderson and Gerbing 1988).

The factor loading value of 20 observed variables was confirmed to be valid beyond the recommended level of 0.7. It can be seen that the reliability of this research model has reached a high level (Hair et al. 2009). Specifically, the Cronbach's alpha value for this study model was at least 0.929, the composite reliability value was at least 0.949, and the rho_A value was above 0.931. These findings suggest that it can be determined that this research model has sufficient internal consistency and convergent validity. The discriminant validity of this research model can be explained through AVE and SQRT (AVE). In Table 4, the AVE values exceeded the recommended threshold of 0.5, with the lowest being 0.824. Furthermore, the square roots of AVE values were significantly higher than the correlations between latent variables, confirming sufficient discriminant validity. Moreover, all heterotrait–monotrait ratio (HTMT) values in this study were found to be lower than 0.85 (Henseler et al. 2016), indicating that discrimination validity was assured. Thus, our research model can be seen as having adequate discriminatory validity (Bentler and Raykov 2000; Chin 2013; Hair et al. 2023).

4.5 | Common Method Bias Test

This study went through a procedure to identify common method bias (CMB) that may occur during PLE-SEM analysis using the following four methods. First of all, at the beginning of the survey, participants were guaranteed anonymity and confidentiality for the study. In addition, it was emphasized that there was no predetermined correct or wrong answer and encouraged honest responses (Chang et al. 2020). Second, Harman's single-factor analysis was performed according to the methodology proposed by Podsakoff et al. (2003). As a result of the execution of principal component analysis, the explanatory power of a single factor was about 40.88%, which was lower than the threshold of 50%. Third, as proposed by Kock (2015), it was confirmed that the risk of multicollinearity was low as the value of the VIF between constructs was lower than 3.3. The results indicated that the minimum value of VIF was 1.044 and the maximum value was 3.060, which did not reach 3.3. Fourth, this study used entrepreneurship as a marker variable (M1), owing to the Lindell and Whitney (2001) marker variable technique. As a result of the analysis, the correlation coefficient between M1 and the existing latent variable was at least 0.066 to 0.247 or less and was not statistically significant at the $p>0.05$ level. Based on these results, it can be concluded that the CMB of the latent variable in this study is low.

5 | Results

5.1 | Structural Model Assessment

Figure 2 and Table 5 show the PLS-SEM verification results. The verification results for the direct effect are as follows. The direct effect analysis reveals that the relationship between stakeholder legitimacy and BMI was positively significant ($\beta=0.153$, $p<0.001$), while the relationship between stakeholder legitimacy and ESG washing was negatively significant ($\beta=-0.104$, $p<0.01$). These findings indicate that higher stakeholder legitimacy enhances BMI while reducing ESG washing. Thus, Hypothesis 1 and Hypothesis 2 were supported.

TABLE 4 | Inter-construct correlations and discriminant validity.

Construct	1	2	3	4	5	6	7	8
1 Firm age	—							
2 Firm size	0.193	—						
3 Industry	0.008	0.003	—					
4 Stakeholder legitimacy	0.036	0.033	0.252	0.931	0.486	0.415	0.525	0.255
5 Regulatory pressure	−0.047	−0.011	0.101	0.461	0.926	0.848	0.835	0.718
6 Normative pressure	0.025	0.041	0.272	0.798	0.389	0.908	0.809	0.795
7 Business model innovation	0.069	0.011	0.194	0.820	0.498	0.759	0.929	0.728
8 ESG washing	0.041	−0.015	0.227	0.688	0.245	0.758	0.696	0.936

Note: The values above the bold diagonal represent HTMT ratios while the values below indicate inter-construct correlations. The bold diagonal values (4th to 8th columns) show the square roots of AVE.

Abbreviation: HTMT, heterotrait–monotrait ratio of correlations.

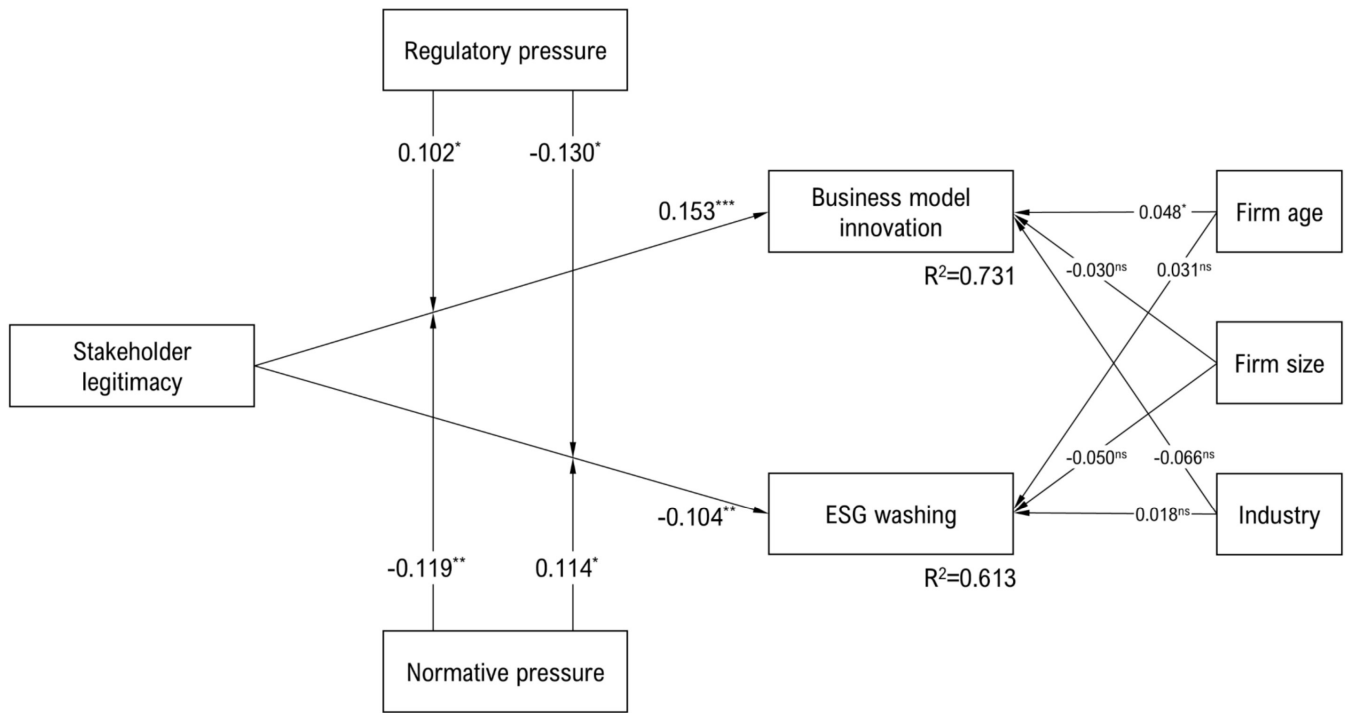


FIGURE 2 | Results of structural model. Notes: ^{ns} non-significant, ^{*} $p < 0.05$, ^{**} $p < 0.01$, ^{***} $p < 0.001$.

This study also examined the moderating effects. Regulatory pressure positively moderated the relationship between stakeholder legitimacy and BMI ($\beta = 0.102$, $p < 0.05$) but negatively moderated the relationship between stakeholder legitimacy and ESG washing ($\beta = -0.130$, $p < 0.05$), supporting Hypotheses 3a and 3b. In contrast, normative pressure negatively moderated the relationship between stakeholder legitimacy and BMI ($\beta = -0.119$, $p < 0.01$) but positively moderated the relationship between stakeholder legitimacy and ESG washing ($\beta = 0.114$, $p < 0.05$), supporting Hypotheses 4a and 4b. Graphical verification results for these moderating effects are presented in Figures 3 and 4.

Moreover, integrating the control variable into the dependent variables (e.g., BMI and ESG washing) demonstrated that firm size has a significant impact on BMI ($\beta = 0.048$, $p < 0.05$). This indicates that larger firms are more likely to innovate their business models. The R^2 of the endogenous variables were BMI (0.731) and ESG washing (0.613).

Although the effect of stakeholder legitimacy on BMI ($\beta = 0.153$) is moderate in magnitude, it signifies a consequential shift in practice, particularly given that BMI accounts for a substantial share of the explained variance ($R^2 = 0.731$). It is plausible to infer that legitimacy assumes a salient role in catalyzing firms' substantive sustainability transformations. Conversely, the negative effect on ESG washing ($\beta = -0.104$), while more diminutive, remains pragmatically significant, as even marginal reductions can precipitate notable decreases in symbolic ESG behavior within institutional environments where such practices are relatively pervasive. Furthermore, as shown in Figure 3, the slope becomes clearly steeper under heightened regulatory pressure, implying that legitimacy exerts a more pronounced influence on firms' propensity for innovation when coercive mandates

are salient. In contrast, Figure 4 reveals that under formidable normative pressure, the legitimacy–washing relationship attenuates, indicating that norms which accentuate superficial compliance may enervate the disciplining function of legitimacy.

To assess the predictive validity of our model, we conducted PLS predict and cross-validated predictive ability test (CVPAT), comparing our PLS-SEM model with a linear regression benchmark. The results show that Q^2_{predict} values are positive, and our PLS-SEM model outperforms the linear model (LM) with lower RMSE values. Moreover, the CVPAT results confirm that our predictive model is statistically significant ($p < 0.05$), reinforcing the robustness of our findings (Liengard et al. 2021; Sharma et al. 2022; Shmueli et al. 2019; Shmueli et al. 2016).

5.2 | Importance–Performance Map Analysis

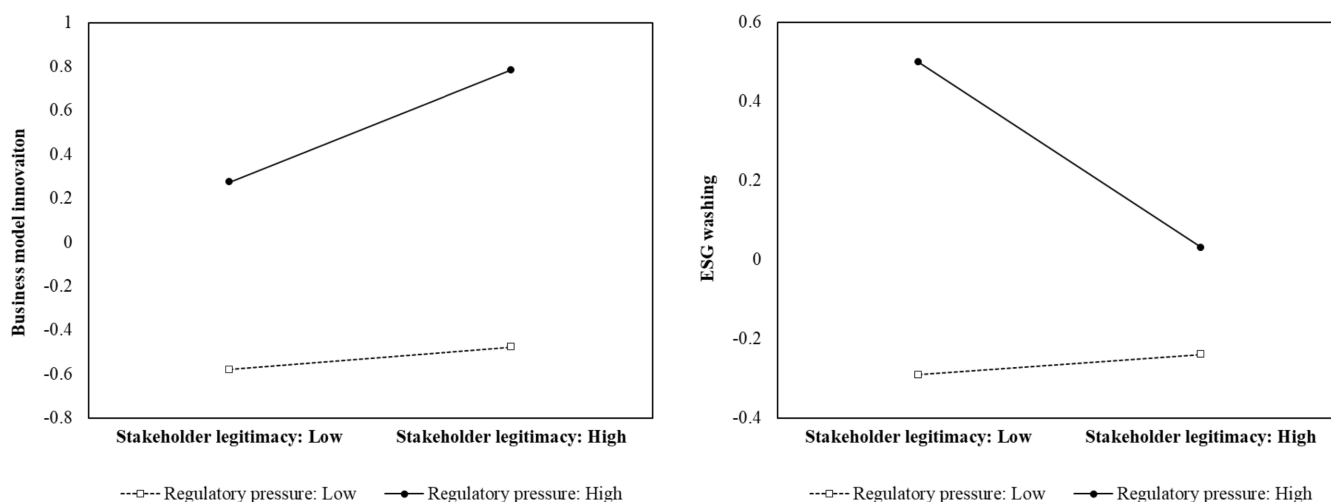
To derive deeper strategic implications beyond path coefficients, we performed an Importance–Performance Map Analysis (IPMA) for both BMI and ESG washing. As highlighted by Ringle and Sarstedt (2016), IPMA extends traditional PLS-SEM analysis by simultaneously considering the relative importance (i.e., total effects) and performance (i.e., rescaled average latent scores) of predictor constructs. This enables the identification of constructs that warrant immediate managerial intervention due to their high-impact potential but suboptimal performance.

The results, presented in Table 6, reveal that regulatory pressure is the most salient determinant of BMI, exhibiting the highest importance score (0.528) alongside a relatively elevated performance level (56.713). This indicates that institutional compliance mechanisms and formal regulatory stimuli serve as critical

TABLE 5 | Results of structural model.

Path	Coefficient	t-values	p	Hypothesis
<i>Controls</i>				
Firm age → Business model innovation	0.048	0.024	2.006	
Firm size → Business model innovation	−0.030	0.024	1.225	
Industry → Business model innovation	−0.066	0.067	0.994	
Firm age → ESG washing	0.031	0.032	0.990	
Firm size → ESG washing	−0.050	0.031	1.592	
Industry → ESG washing	0.018	0.067	0.274	
<i>Direct effects</i>				
H1 Stakeholder legitimacy → Business model innovation	0.153	0.034	4.481	Supported
H2 Stakeholder legitimacy → ESG washing	−0.104	0.035	2.966	Supported
<i>Moderating effects</i>				
H3a Regulatory pressure × Stakeholder legitimacy → Business model innovation	0.102	0.046	2.228	Supported
H3b Regulatory pressure × Stakeholder legitimacy → ESG washing	−0.130	0.055	2.369	Supported
H4a Normative pressure × Stakeholder legitimacy → Business model innovation	−0.119	0.038	3.156	Supported
H4b Normative pressure × Stakeholder legitimacy → ESG washing	0.114	0.053	2.143	Supported

Note: 5000 iterations for bootstrapping, confidence level of 95%.

**FIGURE 3** | Moderating effect of regulatory pressure on business model innovation and ESG washing.

levers for fostering BMI. Conversely, normative pressure demonstrates moderate importance (0.284) and average performance (53.734), suggesting its auxiliary role in shaping innovative orientations. Stakeholder legitimacy, while conceptually relevant, shows comparatively low importance (0.153) and performance (50.632), thereby positioning it as a less immediate strategic priority in this context.

In contrast, the IPMA results for ESG washing suggest a distinct configuration. Specifically, normative pressure emerges as the most influential antecedent (importance=0.581), although its performance remains moderate (53.734). This finding implies

that aligning with socially embedded norms and industry standards is essential to mitigating ESG-washing tendencies. While regulatory pressure exhibits acceptable performance (56.713), its importance in curbing ESG-washing is relatively limited (0.265). Notably, stakeholder legitimacy is associated with a negative importance score (−0.104), indicating either a weak or counter-directional relationship with ESG-washing, which may warrant further exploration.

Collectively, these findings underscore the necessity of adopting differentiated institutional strategies. Specifically, efforts to strengthen regulatory responsiveness may prove most

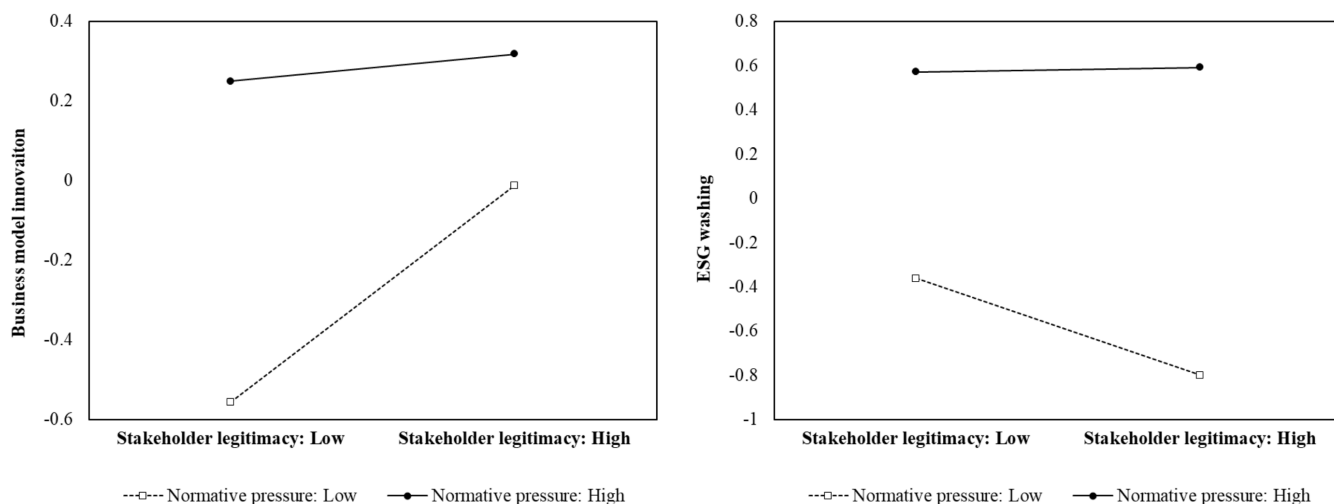


FIGURE 4 | Moderating effect of normative pressure on business model innovation and ESG washing.

TABLE 6 | IPMA for BMI and ESG washing.

Independent variables	BMI		ESG washing	
	Importance	Performance	Importance	Performance
Stakeholder legitimacy	0.153	50.632	-0.104	50.632
Regulatory pressure	0.528	56.713	0.265	56.713
Normative pressure	0.284	53.734	0.581	53.734
Mean	0.322	53.693	0.247	53.693

effective in enhancing BMI, whereas addressing normative institutional pressures appears vital in curtailing ESG-washing behaviors. The IPMA thus provides nuanced, performance-sensitive insights into institutional drivers, offering guidance for prioritizing policy and managerial initiatives. Thus, these IPMA-based insights complement the structural model results presented in Figure 2. While the structural model confirms the statistical significance of regulatory pressure in fostering BMI and normative pressure in reducing ESG washing, the IPMA further reveals performance gaps that warrant managerial attention. For instance, despite its significant positive effect on ESG washing mitigation, normative pressure exhibits only moderate performance, highlighting a critical area for intervention that would remain underexplored if relying solely on path coefficients.

5.3 | Qualitative Assessment and Contextualization

This study demonstrates that the ESG activities of Korean firms operating in a market environment are heavily influenced by stakeholders interacting with regulatory and normative pressures (Kim et al. 2025). To further investigate this phenomenon, we conducted comprehensive, semi-structured qualitative interviews with executives from prominent firms in Korea, as outlined in Table 7, which details the firm selection criteria. The findings are explored in greater depth in the subsequent

sections, supported by survey-based analysis and qualitative interviews.

From a strategic perspective, stakeholder legitimacy is an invaluable intangible asset for a firm, acting as a crucial catalyst for BMI by securing public endorsement for its actions (Freudenreich et al. 2020). It reflects a firm's position within its social and economic context and plays a pivotal role in garnering support for its management activities (Dowling and Pfeffer 1975; Suchman 1995).

Our findings demonstrate that stakeholder legitimacy was the driving force behind the BMI of Korean firms. Previous research highlights a clear connection between stakeholder legitimacy and the fundamental principles of business strategy and innovation (Johnson et al. 2008; Korkeamäki and Kohtamäki 2020). A firm's legitimacy stems from internal actions targeted at external stakeholders, who, in turn, validate the firm's credibility and standing (Drori and Honig 2013). As one manager remarked:

“We are redefining our business model to transform into a smart life solution firm that advocates for a ‘Better Life for All.’ This strategic approach transcends profit generation, emphasizing the creation of social value and fostering stakeholder trust.” (A1-1)

TABLE 7 | Profile of the firms studied.

ID ^a	Firm description	Province	Est. year	Number of employees	Industry	Criteria for selection	Work experience
A1-1	Equipment manufacturing	Seoul	1958	35,602	Manufacturing	SL → BMI	27
A1-2						SL × NP → BMI	24
B1-1	Battery manufacturing	Gyeonggi	1970	13,340	Manufacturing	SL × RP → BMI	12
C1-1	Telecommunication	Seoul	1984	5741	Telecommunication	SL → ESGW	17
D1-1	Equipment manufacturing	Gyeonggi	1974	3361	Manufacturing	SL × NP → ESGW	21
E1-1	Steel manufacturing	North Gyeongsang	1968	479	Manufacturing	SL → ESGW	14
F1-1	Tire manufacturing	South Gyeongsang	1958	4255	Manufacturing	SL → BMI	23
F1-2						SL × RP → ESGW	18

Abbreviations: BMI, business model innovation; ESGW, ESG washing; NP, normative pressure; RP, regulatory pressure; SP, stakeholder legitimacy.

^aFirm names are coded to protect the anonymity. The consent form submitted to employees specified that the identity of employees and firms would not be revealed.

Furthermore, stakeholder legitimacy plays a pivotal role in a firm's success, particularly when navigating new challenges (Sahaym 2013). It is recognized as an essential resource for capitalizing on new opportunities within a business context (Zimmerman and Zeitz 2002). Research on new ventures presupposes that legitimacy stems from the activities an organization engages in to build its own credibility. This legitimacy is then granted by external stakeholders based on how effectively the firm has succeeded in impression management (Tornikoski and Newbert 2007; Überbacher 2014). As one manufacturing manager put it:

“Aligned with the growing trend of sustainable management, our firm is actively implementing green processes in production facilities and striving to enter the field of green energy. This approach is driven by the recognition that gaining stakeholder approval during this green transition hinges on these efforts as a critical factor.” (F1-1)

As a result, securing legitimacy from stakeholders is crucial for business success, especially when a firm enters or begins operating in a new field or tackles new challenges.

Every action taken by an organization conveys a message that stakeholders interpret to evaluate its legitimacy (Tost 2011). External evaluations are influenced by perceptions of the firm's reputation among institutions such as the media, government, and social organizations (Bitektine and Haack 2015; Drori and Honig 2013). However, stakeholders often lack sufficient information to accurately assess the environmental impacts of different firms (Crilly et al. 2016). This information asymmetry not only affects assessments of a firm's current environmental performance but also its future plans to mitigate pollution (Cui et al. 2018; Martínez-Ferrero et al. 2016). Consequently, with incomplete information, stakeholders are compelled to depend on signals that reflect a firm's present and future commitments to environmental sustainability (Berrone et al. 2017).

Indeed, some firms exploit information asymmetry by distorting or exaggerating their performance to influence stakeholder perceptions. Prior research indicates that firms with low legitimacy are more prone to greenwashing compared to those with high legitimacy (Seele and Gatti 2017). Likewise, our findings suggest that firms with strong stakeholder legitimacy are less inclined to engage in ESG washing. Respondents offer additional insights into the matter, often emphasizing how stakeholder legitimacy plays a critical role in preventing ESG washing.

“As part of the broader social community, our firms endeavor to uphold the principles of corporate citizenship by actively contributing to the creation of a better society. Achieving this objective relies on earning stakeholder legitimacy, which necessitates transparency and credibility in all our actions. To build and maintain the trust and confidence of our stakeholders, our firm is committed to managing data in accordance with rigorous standards and providing accurate, reliable information. In particular, to meet ESG information disclosure requirements, we are focusing on publishing an ESG factbook, developing an integrated data management application, and refining our ESG performance measurement model. These initiatives reflect our steadfast dedication to our stakeholders and their trust.” (E1-1)

Meanwhile, prior research supporting legitimacy theory has demonstrated that firms prioritizing stakeholder legitimacy are more likely to actively engage in communication with their stakeholders (Suchman 1995). According to legitimacy theory, stakeholder legitimacy is established through interaction with the market rather than being rooted in resources controlled by firms. In this context, it is regarded as a resource that various actors within the business ecosystem can exploit for opportunistic purposes (Press et al. 2020). As firms increasingly disclose

information about their efforts and performance in ESG management practices, discrepancies between their actions and stakeholder expectations may arise (Crilly et al. 2016). To address these risks and bolster legitimacy, respondents highlighted the need for more precise and transparent communication with stakeholders.

“To strengthen legitimacy, our firm emphasizes aligning internal actions with the expectations of external stakeholders from an ESG perspective. This involves effectively integrating the demands and concerns of external stakeholders into organizational processes while transparently communicating internally achieved outcomes to the broader community. Additionally, recognizing that major ESG agendas—such as carbon neutrality, supply chain management, and biodiversity—pose complex challenges that exceed the capabilities of our firm to address alone, we are dedicated to fostering collaboration with a wide range of stakeholders. Through these collective efforts, we aim to build solidarity and reinforce our legitimacy.” (C1-1)

In conclusion, firms that strive to gain legitimacy from their stakeholders are less likely to engage in ESG washing and are better positioned to advance toward a more ethical and sustainable path.

Institutional theory posits that when firms adopt strategies aligned with institutional prescriptions, their corporate values become consistent with those of their stakeholders (Meyer and Rowan 1977). This alignment enables firms to gain external validation or legitimacy (Scott 2013). Consequently, it is essential for firms to develop strategies that consider the institutional conditions underpinning stakeholder legitimacy.

A firm's BMI behavior is widely regarded as a reflection of its stance on the legitimacy of its stakeholders. Some scholars argue that this stance strengthens the firm's BMI, provided it aligns with government regulations and societal norms (Berrone et al. 2013; Lee et al. 2024). However, stakeholder legitimacy does not always translate uniformly into corporate BMI, as firms operate within diverse institutional environments. (Lee et al. 2024).

Our findings provide concrete and innovative perspectives on these institutional discussions. Specifically, our results demonstrate that regulatory pressure encourages firms to promote BMI by prioritizing stakeholder legitimacy. This phenomenon is explained through the concept of isomorphism, where BMI aimed at mitigating institutional risks under coercive regulatory pressure aligns with stakeholder demands (de Villiers et al. 2014). These internally driven innovations align with Berrone et al.'s (2013) assertion that firms facing strong regulatory pressure can reduce harmful practices, such as toxic emissions, thereby better addressing the needs of external stakeholders through improved business models. Insights from our interviews further support this perspective, highlighting the role of regulatory pressure in encouraging firms to advance BMI initiatives and strengthen stakeholder legitimacy.

“As regulations on carbon neutrality, resource circulation, and human rights grow increasingly stringent, our firm continues to innovate its business model in response. For example, the implementation of stricter product safety and quality standards has driven advancements in our R&D and production processes, enabling us to develop a business model that incorporates resource circulation throughout the entire product lifecycle—from design to disposal. These innovations have not only bolstered our reputation as an eco-friendly firm but also enhanced our legitimacy by addressing stakeholder expectations for sustainable development.”

(B1-1)

The normative pressures exerted by stakeholders on firms can vary significantly across groups due to stakeholders' differing interests and priorities (Thornton et al. 2012). These differences often present considerable challenges for firms, as conflicting normative expectations and demands can create confusion within organizations (D Van Halderen et al. 2016). For instance, some stakeholders may emphasize traditional methods and norms, discouraging firms from adopting innovative approaches, while others may push for innovation to achieve sustainability and ESG goals.

These conflicting normative pressures can hinder firms from effectively addressing stakeholder needs, coordinating their organizational structures, and fostering innovation initiatives. Our study indicates that stronger normative pressures may actually weaken a firm's ability to drive BMI through stakeholder legitimacy. This finding suggests that normative pressure can act as a significant obstacle to understanding stakeholder legitimacy and advancing BMI based on it.

Similarly, respondents underscored the role of norms established by core stakeholders in driving BMI. However, they also noted that normative pressures do not always align with stakeholders' legitimacy interests, underscoring the complexities inherent in navigating these dynamics.

“Our firm is a leader in advancing business practices to align with established norms. Specifically, we have implemented a stakeholder participation process based on the AA1000SES international standards, allowing us to collect feedback from diverse stakeholders and incorporate their perspectives into our management activities. However, the increasing complexity and variability of sustainability norms have recently created significant challenges for firms, complicating compliance and effective responses. In particular, the initial costs required for technology development, data management, and the establishment of management systems impose a considerable burden on firms, which is widely regarded as a major barrier to BMI.”

(E1-2)

From the perspective of rational actors, managers may prioritize symbolic actions over substantive ones to secure stakeholder legitimacy, depending on the institutional environment in which the firm operates. This preference stems from the fact that symbolic conformity is easier to achieve than genuine conformity, offering greater internal flexibility while still delivering the benefits of legitimacy (Suchman 1995). Consequently, firms often resort to ESG washing as a simpler and more efficient way to enhance their legitimacy and reputation, avoiding the resource-intensive and demanding process of driving innovation to meet stakeholder expectations.

However, symbolic engagement with environmental responsibility will not help a firm avoid government regulation, or evade significant fines, penalties, and clean-up costs (Bansal and Clelland 2004). As the associated regulatory penalties often outweigh the benefits of symbolic actions, symbolic business activities are less prevalent in countries or business environments with stringent regulatory frameworks (Ambec and Lanoie 2008). In line with these discussions, our findings indicate that regulatory pressure reduces ESG washing by influencing stakeholder legitimacy (Berrone and Gomez-Mejia 2009). This suggests that stronger regulatory pressure within the business environment lowers the likelihood of firms engaging in ESG washing based on stakeholder legitimacy. Furthermore, the behavior of these firms can be anticipated through insights gathered from our interviews.

“In response to the recently strengthened ESG regulations, our firm has implemented measures to effectively mitigate risks through comprehensive evaluations of external environmental factors. As part of this effort, we have undertaken practical initiatives, including energy conservation, the production of green products, pollutant reduction, water, chemical, and waste management, biodiversity protection, and resource recycling. Although we have worked diligently to align with societal expectations and policy pressures, the recent announcement by the Korean government to postpone the mandatory ESG disclosure for listed firms from 2025 to 2026 has slightly diminished our momentum. During this period, rather than developing new initiatives, we are focusing on leveraging our website and media to showcase our current achievements to the public.” (F1-2)

In contrast, our findings indicate that increased normative pressures further encourage ESG washing aimed at achieving stakeholder legitimacy. Since norms are shaped by stakeholders' perceptions of customs and morality to uphold social order (Bansal and Clelland 2004), symbolic actions that align with these norms may be positively acknowledged by stakeholders as a means of addressing normative challenges (Caprar and Neville 2012; Hyatt and Berente 2017). Consequently, the higher the normative expectations for ESG, the more likely a firm is to adopt symbolic actions to meet these expectations. Instead of genuinely improving ESG practices, such actions often prioritize crafting a favorable image for stakeholders, primarily to serve commercial interests.

For instance, various environmental certifications send positive signals to financial markets regarding the adoption of ESG practices (Boiral et al. 2017). Regardless of whether these practices are genuinely internalized within an organization, such certifications often help meet normative standards and mitigate reputational risks (Iatridis and Kesidou 2018; Su et al. 2016). As a result, some firms enhance their eco-friendly image by obtaining certifications that lack the capacity to independently verify the internalization of ESG practices and promoting them. The following citations, derived from the interview, offer valuable insights into this phenomenon.

“Given the uncertainty stemming from the ongoing economic downturn and global supply chain restructuring, there are considerable limitations in responding preemptively and aggressively to stakeholder demands. As a result, rather than undertaking activities requiring significant investment, we are concentrating on efforts to better highlight our current performance and appeal to stakeholders. This approach aims to enable stakeholders to understand the financial impact of companies with regard to climate change through publicly available information, thereby supporting informed financial decisions such as investments and loans. Notably, we are emphasizing our continuous implementation of globally recognized systems by adhering to the requirements of ISO 45001 and ISO 14001.” (D1-1)

6 | Discussion and Implications

6.1 | Theoretical Contributions

This study advances legitimacy theory by revealing its ethically ambivalent consequences in the context of ESG strategy. We demonstrate that seeking stakeholder legitimacy can be a double-edged sword: firms may outwardly conform to stakeholder expectations without substantive change or pursue genuine innovations. This finding extends legitimacy theory beyond its traditional focus on positive alignment, showing that legitimacy pressures can encourage both ethical outcomes (authentic business model innovation) and potentially opportunistic behaviors (ESG washing) under different conditions. Prior scholars noted that legitimacy-driven conformity can sometimes be merely symbolic (Sonpar et al. 2010; Zheng et al. 2015). By empirically showing that stakeholder legitimacy increases substantive innovation (i.e., BMI) while curbing superficial ESG washing, our work reconciles this duality. We contribute to the literature by clarifying that legitimacy is not an unqualified good—It can enable real ethical improvements, but, if misused, it might also facilitate hollow compliance. In doing so, we answer calls to address the “double-edged” nature of organizational legitimation and provide evidence that legitimacy pressures have ethically ambivalent outcomes in corporate ESG behavior.

Furthermore, our integration of signaling theory and institutional theory offers a more complete understanding of ESG

strategy formation. Signaling theory suggests that firms send observable signals (such as ESG initiatives or disclosures) to convey unobservable qualities and gain approval from stakeholders (Pope and Wæraas 2016). Institutional theory, on the other hand, emphasizes how external pressures—regulatory (coercive) mandates and normative societal expectations—shape organizational practices (Burdon and Sorour 2020). By combining these lenses, we illustrate how firms navigate ESG strategy as both an act of communication to stakeholders and a response to environmental pressures. This integrative perspective enriches the ESG literature by showing that firms engage in BMI or ESG washing not just to appear legitimate, but as strategic responses to complex signals and pressures in their institutional environment. The coupling of signaling and institutional logics in our framework helps explain why some firms translate legitimacy demands into genuine innovation while others might be tempted toward mere image management.

Our finding also resolves theoretical inconsistencies regarding when legitimacy leads to ethical versus opportunistic behavior. Previous research offered mixed expectations: Some argued that stakeholder legitimacy drives authentic sustainability efforts (Crossley et al. 2021), whereas others warned it could induce symbolic adoption or “greenwashing” (Walker and Wan 2012). Our findings bring nuance to this debate. We show that under strong regulatory pressure, the positive influence of stakeholder legitimacy on ethical ESG behavior is reinforced—Firms are more likely to channel legitimacy into substantive BMI and avoid ESG washing. This aligns with the idea that coercive rules and enforcement can constrain opportunism and reward genuine compliance. In contrast, under intense normative pressure, the effect of stakeholder legitimacy on ESG behaviors is weakened, suggesting that when sustainability practices become widely expected norms, firms might meet those expectations superficially without further innovation. This insight helps reconcile conflicting theories by identifying boundary conditions: legitimacy drives ethical action when backed by strict regulation, but may encourage complacent or isomorphic responses when only normative pressures prevail.

In sum, we contribute to theory by extending legitimacy theory into the ESG domain with an ambidextrous outcome, and by bridging signaling and institutional perspectives to clarify when stakeholder legitimacy produces truly ethical strategies versus opportunistic ESG posturing.

6.2 | Managerial Implications

Our findings offer several important lessons for practitioners, especially managers in manufacturing and service sectors who are navigating ESG demands. First, managers should recognize that pursuing stakeholder legitimacy can be a powerful driver of substantive innovation, but it can also backfire if not managed carefully. Building legitimacy with stakeholders (e.g., by engaging in credible sustainability initiatives) can catalyze BMI that yields competitive advantage and authentic ESG improvements. Managers in manufacturing industries might leverage stakeholder legitimacy to transform operations towards sustainable practices, and service firms can redesign service delivery

or supply chains in line with ESG principles. Interview insights reinforce this dynamic. Several executives described legitimacy as a strategic foundation for organizational renewal. As one manager noted, “We are redefining our business model to become a smart life solution firm ... emphasizing social value and stakeholder trust.” (A1-1). This statement illustrates how legitimacy serves as an intangible yet potent resource, enabling firms to align products, capabilities, and internal systems with evolving ESG expectations and create enduring value for both stakeholders and the organization.

Second, legitimacy can also “backfire” when managers attempt to shortcut the process by conforming to institutional norms or public expectations in superficial ways. Although our quantitative findings show that stakeholder legitimacy generally reduces ESG washing, managers may still be tempted to adopt symbolic actions when facing strong normative pressure or economic uncertainty. Interview evidence highlights this risk. As one respondent acknowledged, “Given the economic uncertainty, we are focusing more on highlighting our current performance rather than developing new initiatives.” (D1-1). Such tendencies illustrate how strong normative expectations can unintentionally encourage symbolic ESG practices, eroding stakeholder trust when discrepancies between rhetoric and reality become visible. For instance, firms under intense public scrutiny may produce polished sustainability reports or marketing campaigns that temporarily meet stakeholder expectations but ultimately undermine credibility if not supported by substantive progress. Managers should therefore beware of the complacency that can arise in environments of high normative pressure—Meeting the letter of stakeholder expectations without meaningful change may seem safe, but it undermines genuine legitimacy and invites stakeholder skepticism or backlash. Especially in manufacturing, where environmental impacts are tangible, any ESG washing (such as making claims of green production that are not backed by data) can quickly damage a firm's credibility. Service sector managers, too, should ensure that claims about social responsibility (for instance, customer welfare or community engagement) are supported by real practices. Our study suggests that to avoid legitimacy backfiring, firms should lean into stakeholder legitimacy as a mandate for continuous improvement and innovation, rather than a mere reputation shield. In practice, this means investing in bona fide ESG initiatives and transparently communicating progress, which in turn strengthens stakeholder trust and long-term legitimacy.

Third, managers should prioritize ESG data integrity, transparency, and credible reporting frameworks. As ESG information becomes increasingly scrutinized by stakeholders, regulators, and financial markets, firms must strengthen internal data governance and adopt rigorous measurement practices. Implementing standardized and internationally recognized frameworks—such as ISSB, CSRD, or GRI—enhances the credibility and comparability of ESG disclosures, reduces information asymmetry, and diminishes the temptation or perceived need to rely on symbolic ESG practices. Ensuring the reliability of ESG metrics not only supports regulatory compliance but also builds stakeholder trust and reduces the reputational risks associated with ambiguous, selective, or unverifiable sustainability claims.

For policymakers, our research underscores strategies to minimize ESG washing in the wider market. Policymakers can take away that robust regulatory frameworks are crucial in channeling corporate legitimacy pursuits towards genuine sustainability actions. The finding that regulatory pressure strengthens the positive effects of stakeholder legitimacy implies that governments and regulators should enforce clear, stringent ESG standards. By increasing the costs of non-compliance and the likelihood of detection, strong regulations discourage firms from engaging in empty ESG rhetoric. Indeed, prior work suggests that more stringent and well-enforced regulations are the most direct means to curb greenwashing. Policymakers might therefore implement detailed reporting requirements, standardized definitions of ESG performance, and penalties for misinformation to ensure that claims of sustainability are backed by reality. Such measures would amplify the tendency of legitimacy-seeking firms to invest in actual improvements (since mere gestures would no longer satisfy regulators or avoid sanctions).

6.3 | Limitations and Future Research Directions

Like any empirical study, ours has limitations that temper the interpretation of the results. First, the scope of our sample may limit generalizability. We focused on firms in the manufacturing and service sectors, which, while important, do not encompass the full range of industries. Firms in technology-intensive industries, extractive sectors, agriculture, finance, or the public sector may experience stakeholder legitimacy pressures differently and exhibit distinct ESG response patterns. Future research could extend our framework to these diverse sectors to assess whether the mechanisms identified here operate similarly across varied organizational and environmental conditions.

Second, the study is situated within a single national context—South Korea. The country's distinctive institutional environment, characterized by rapidly evolving ESG regulations, chaebol-driven governance structures, and culturally embedded stakeholder expectations, may shape firm responses in ways that differ from other contexts. Institutional environments vary widely across countries in terms of regulatory strength, civil society activism, transparency norms, and societal expectations. These differences may influence how stakeholder legitimacy interacts with coercive and normative pressures, as well as how firms balance substantive innovation with symbolic ESG actions. Comparative cross-country studies would therefore be valuable for assessing whether the moderating effects identified in this study are universal or context-dependent, and for enriching legitimacy theory by incorporating national culture, regulatory maturity, and institutional complexity.

Third, there are limitations related to how we measured ESG washing and innovation. We relied on ESG performance indicators and potentially ESG ratings or scores to infer genuine ESG improvements versus superficial efforts. These measures, while common in the literature, are imperfect proxies. ESG ratings in particular can carry inherent biases and inconsistencies. Different rating agencies often use divergent criteria, which could affect how “ESG washing” is identified. For example, a firm might be rated highly by one standard and mediocre by

another, introducing noise into our analysis. Moreover, BMI in the context of ESG can be complex to capture quantitatively. It is possible that our operationalization of BMI did not fully capture all forms of innovative change a company can undertake in response to legitimacy pressures. As a result, some subtle or long-term innovations might not be reflected in our data.

Building on our findings, we encourage future studies to further explore the dynamics of stakeholder legitimacy and ESG strategies across a broader range of contexts and over time. One fruitful direction is to examine other industries and cultural settings. Industries with extreme characteristics—for example, extractive industries like mining or oil and gas (which face intense environmental scrutiny), or high-tech sectors (with fast innovation cycles and possibly different stakeholder pressures)—could provide contrasting scenarios to test our framework. Do firms in highly polluting industries respond to legitimacy pressures with even stronger business model innovations, or are they more prone to sophisticated ESG washing due to high stakes? Similarly, service industries like finance or hospitality, and non-corporate organizations (e.g., universities or hospitals), have unique stakeholder environments that could affect legitimacy-driven ESG behavior. Cross-country studies would also be valuable: cultural norms and institutional frameworks differ, so the balance of regulatory vs. normative pressure in driving ESG action may shift in different countries. For instance, in some European countries with stringent regulations and strong societal norms, how does stakeholder legitimacy translate to sustainability outcomes compared to a more laissez-faire regulatory environment with weaker norms? Comparative research could shed light on whether the moderating effects we observed are universal or context-dependent. Such studies can enrich legitimacy theory by incorporating the influence of national culture and institutional complexity on ethical vs. opportunistic corporate response. Finally, we encourage future research to adopt longitudinal, qualitative-comparative, or mixed-methods designs to capture dynamic shifts between symbolic and substantive ESG actions. Such approaches would allow scholars to explore how firms transition toward—or regress from—genuine business model innovation as stakeholder expectations and institutional pressures evolve, offering deeper insight into temporal patterns of legitimacy-seeking behavior.

7 | Conclusion

This study examined how stakeholder legitimacy shapes firms' ESG strategies through the dual pathways of business model innovation and ESG washing, and how these relationships are conditioned by regulatory and normative pressures. By employing a mixed-method design that integrates PLS-SEM with in-depth qualitative interviews, the study offers both empirical rigor and contextual richness. The quantitative results provide robust evidence for the hypothesized mechanisms, while the qualitative insights deepen interpretation by illustrating how managers understand and respond to institutional pressures in practice.

This triangulated approach strengthens the credibility of the findings and offers a more nuanced explanation for why firms

pursue substantive innovation in some contexts yet resort to symbolic ESG actions in others. By explicitly demonstrating the value of methodological integration, the study contributes not only substantively to the ESG literature but also methodologically by showing how combining large-scale survey data with qualitative inquiry can more effectively capture the complexity of ESG decision-making under evolving regulatory and societal expectations.

Future research may build on this foundation by adopting longitudinal or cross-national mixed-method designs to explore how stakeholder legitimacy and institutional pressures evolve over time and across differing cultural and regulatory environments. Such extensions would further enhance understanding of the dynamic interplay between legitimacy pursuits, institutional contexts, and corporate sustainability behavior.

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Conflicts of Interest

The authors declare no conflicts of interest.

Data Availability Statement

Data available on request from the authors.

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